1.16.3 BANK RECONCILIATION STATEMENT AT 31 OCTOBER 20.9

		Debit	Credit
Balance as per bank account			420
Outstanding deposit			4 600
Outstanding cheques:	No. 34	1 870	
	No. 45	300	
	No. 51	1 230	
Balance as per bank statement		1 620	
		5 020	**5 020**

BANK RECONCILIATION OF THE PREVIOUS MONTH

TASK 1.16 ☺ ☺☺☺Groupwork [LO 1; AS 1.4]

1.16.1 No.
This is the opening balance for March brought forward from the previous month's (February) bank statement. This balance would have been used for reconciliation in February.

1.16.2 The error was made by the bank.
The error is corrected in the Bank Reconciliation Statement. The bank would have credited Ciara Stores with the deposit. A debit entry is therefore needed to correct the error.

1.16.3 Firstly you would not have a credit entry or account for this amount – unless a fictitious one was made. This is unethical. Allow the learners to discuss this answer – guide them regarding ethics and right and wrong in this situation.

1.16.4 No. 6 and 7:
Cheque stubs should be filled in correctly and completely.
A check with the invoice/statement/order can be made to verify the payment.
Before casting the journal a check should be made of all payments preferably by another person in the business.
No. 8:
Details on cheques should be carefully scrutinised. The cashier or the person responsible for collections should check the following:
- The cheque must be completely filled.
- Amounts in words and figures agree.
- No alterations appear.
- The date is correctly filled in – a post-dated cheque should be kept away in a safe place and only deposited on the date stipulated on the cheque.
- Post-dated cheque payments need to be pre-authorised by the owner or a senior person in the business.

Any other suitable answer.

1.16.5 Errors 6, 7 and 8

No.	Journal	No entry	Account debit	Account credit	Amount	Effect on bank balance		
						+	-	0
6	CPJ		Trading stock	Bank	R99		-	
7	CRJ		Bank	Consumables	R900	+		
8		X						

Note to educator

Error no. 8:
The error was discovered immediately by the teller. He/she did not process the deposit. The deposit has however been recorded in the CRJ. This deposit will have to be deleted and the figures adjusted accordingly.